

Table 15.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The bottom of the pattern can be used as a target. Alternatively, compute the lead-in height (see Table 15.1 for the definition) and subtract the height from the breakout price. The bottom portion of the table shows how often the measure rule works.
Warning line	Drawn parallel to the trendline and lead-in height above it. The line warns that the stock is making a move and is entering the sell zone, an area between the warning and sell lines.
Sell line	A second trendline parallel to the warning line and lead-in height above it. Consider selling when price touches the sell line, especially if the bump is narrow. Delay selling if price continues moving up. Draw additional lines parallel to the original trendline and lead-in height above the prior line, as needed. When the stock rounds over and touches the lower trendline, sell.

Description	Bull Market	Bear Market
Bottom of pattern	44%	65%
Percentage reaching half height target	41%	59%
Percentage reaching full height target	17%	32%
Percentage reaching 2× height	4%	10%
Percentage reaching 3× height	1%	3%